THE WHITE ELEPHANT



PUMP IT OUT KCR inspecting a canal works of the KLIS project in 2019

Touted as the world's largest, the Kaleshwaram Lift Irrigation Scheme (KLIS) was 'unviable' from the start, says the CAG audit performance report. It details the massive cost overruns, possible undue benefits accrued to contractors and the poor planning involved. Its cost may top Rs 1.5 lakh crore, as against Rs 81,911 crore quoted by the BRS regime to the Central Water Commission in 2018.

Officials appearing before the judicial inquiries into KLIS, by ex-SC judge P.C. Ghose, and into the power project costs and power purchase agreements, by judge Madan S. Lokur, have indicated that many decisions were arbit and taken at KCR's behest.

The CAG report says administrative approval was not given for the KLIS project as a whole. Instead, there were 73 separate approvals aggregating to Rs 1.1 lakh crore. Of the total cost of Rs 86, 788.1 crore incurred (as of March 2022), Rs 55,807.9 crore (64.3 per cent) was met through off-budget borrowings (OBBs) raised by an SPV, the Kaleshwaram Irrigation Project Corporation Ltd. The audit suspects undue benefit of at least Rs 2,685 crore went to the contractors for supply and commissioning of pumps, motors, etc. Further, the post-tender inclusion of the price adjustment clause led to an extra payment of Rs 1,342.5 crore. Some of this was rerouted to the BRS via electoral bonds, allege critics. The pink party encashed bonds worth Rs 1,214 crore, SBI documents reveal.

The project's cost-benefit ratio (CBR) was also inflated; with the latest project cost of Rs 1.5 lakh crore, it works out to 0.52. 'This means that every rupee spent on the project will yield only 52 paise. It clearly indicates that the project was, ab-initio, economically unviable,' says the audit report.

The haphazard planning is manifest everywhere. Peak energy demand when all the pumps are operated would be more than the average daily power availed by the state (2021-22). So, even providing power for the lift irrigation will be a challenge. And against a targeted command area of 1.8 million acres, only 40,888 acres has been created till now. ■

omy. But even this, analysts contend, is full of murky deals, especially in critical infrastructure such as developing irrigation and power utilities.

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A COSTLY MESS

KCR's legacy, then, is a costly mess. The CAG says that in the next 10 years Telangana will have to repay a staggering Rs 2.7 lakh crore as principal and interest on market borrowings alone. This is not including the Rs 19,210 crore principal repayment due for borrowings from other financial institutions. A significant portion of market borrowings was also utilised for providing loans and advances to PSUs, special purpose vehicles (SPVs) and autonomous bodies (ABs) to service OBBs. Overall debt sustainability suggests that the net public debt available to the government would be negative after considering the outgo on the servicing of the OBBs.

Analysts point out that relying on heavy borrowing while ignoring debt management is what has brought the state to this pass. Apart from the profligate infra projects (like in the irrigation and power sectors), other issues include poor targeting of subsidies, lack of transparency, the substantial debt relief granted to farmers, free power that has pushed state utilities into debt traps and interest subsidies on loans. Relying on borrowings to finance these explicit subsidies is not a sustainable strategy because it severely diminishes the resources available for crucial infrastructure development and investment, and now hampers Telangana's economic growth. Critics say this is the great disservice KCR, the man who claimed that the people of Telangana have been exploited by fellow Telugus of the Andhra region, has done to the people of a state he fought for. ■